

to reduce oil consumption by 10%, citing the good it would do their health and the nation's foreign exchange reserves.

"When crude oil prices rise, the demand for biodiesel goes up, and less edible oil is available for human consumption. It's a dynamic situation," says AWL Agri Managing Director and Chief Executive Officer Shrikant Kanhere. Angshu Mallick has been re-designated from Managing Director and CEO to Executive Deputy Chairman of the company in November.

With the situation in West Asia unlikely to improve any time soon, the company plans to diversify its revenue sources. AWL Agri, now controlled by Singapore-based Wilmar International, wants 30% sales volumes to come from food and fast moving consumer goods (FMCG) over the next two-three years, up from 18% now. The country's cooking oil imports have risen sharply from 13 million tonnes in 2019-20 (November-October) to 16 million tonnes in 2024-25. The annual import cost has gone up to ₹1.6 lakh crore in the 2024-25 oil year (November-October), roughly equal to the annual farm spending.

66 | Analysts don't hold out any hope of a quick improvement in the edible oil situation even if the West Asia war ends soon. "Prices are likely to depend on how long the war continues. It will take about two months after the war ends to get to the pre-war situation," says B.V. Mehta, executive director of the Solvent Extractors' Association of India. Prices are expected to remain firm as more vegetable oils is diverted to production of biodiesel, he adds, warning that a potential drought may hit production of oilseeds in India, worsening the situation.

Of India's roughly 24 million tonnes edible oil consumption, 15-16 million tonnes is imported, leaving companies highly exposed to global price swings. India imports roughly 60% of its edible oil requirement. Of this, AWL Agri manages nearly 20%.

LESS-VULNERABLE FOOD BASKET

AWL Agri is doubling down on food and staples to future-proof itself. "Food is less volatile as it is not import-dependent. India is largely self-reliant in wheat, rice, pulses and sugar, so food is inherently less volatile. The more food we add to the basket, the more we reduce oil-related risk," says Kanhere.

The move by AWL Agri to pivot its portfolio towards a 30% food share is a strategic necessity driven by low margins in edible oils, says Deven R Choksey, Chairman and Managing Director of DRChoksey Finserv, a

AT A GLANCE



18%

Edible oil market share



6%

Wheat market share



6%

Basmati market share



5.5 mmt

Edible oil refining capacity



1 mmt

Food capacity

wealth management and investment advisory firm.

"In the edible oil business, gross margins hover around 12-13%, with EBITDA margins often squeezed to 4-4.5%. By contrast, the branded food and FMCG segment (staples, pulses, rice, and sugar) has gross margins of up to 25% and EBITDA margins between 8% and 9%," says Choksey.

EBITDA stands for earnings before interest, tax, depreciation and amortisation, an indicator of a company's operating profitability.

"Edible oil is highly volatile due to its dependence on global prices and import duties. The food basket provides a more stable, high-margin revenue stream," says Choksey.

Of the company's ₹73,731 crore revenue in FY26,